

The Flying Dutchman

Asia's AI 3 vs Mag 7

Equity Strategy Asia

- ◆ Magnificent 7 are larger and far more liquid than Asia's 3 top AI plays, but both groups now dominate indices to a similar degree
- ◆ Asia Trident stack up well on earnings, cash flow, and capex versus the Mag-7...
- ◆ ...and even after the recent run-up, Asia valuations still look very low versus both the Mag-7 and their own average

The top three AI Tech hardware names in Asia have been the preferred names for investors, outperforming their US counterparts significantly since end-2025. The question we ask now is can this go further? We answer this by comparing their performance, liquidity, profitability, and valuations.

Size and performance. The Magnificent 7 in the US dwarf the big three AI hardware names in Asia – SK Hynix, Samsung Electronics, TSMC – which we label the Asia Trident in size. But the Asian stocks have massively outperformed Mag-7 since end-2025. As a result, both the Mag-7 and Asia Trident now account for roughly 30% of their respective indices in the US and Asia ex Japan.

Liquidity. On an absolute basis, the Mag-7 trade roughly 6x more than Asia's three stocks a day. This is despite the big and growing retail investor base in Asia. Asia Trident account for just 7% of region's turnover, versus 23% for the Mag-7. In other words, Mag-7 firms are materially more liquid than these Asia tech hardware names.

Valuations. That liquidity gap partly explains the valuation differential. Asia Trident trade on lower multiples, with a 12-month forward Factset consensus P/E of ~10x, broadly in line with their own history. By contrast, the Mag-7 trade at 27x on a 12-month forward Factset consensus P/E. US equities generally command higher valuations, but unlike Mag-7, Asia Trident also trade at a deep discount to its broader market's own historical average.

Growth and cash flow. Mag-7 earnings are expected to grow by 32% this year as per Factset consensus. That's a solid number, but it's still less punchy than the big three in Asia, where earnings are expected to triple per Factset consensus. Growth expectations are moving up for both groups. On an absolute cash flow basis, the two groups look broadly comparable. The difference is in the mix: for the Mag-7, a lot of the cash flow is being driven by Nvidia and Apple, and they're not spending aggressively. In Asia, it is more evenly supported — all three companies are generating strong cash flows. Their ROEs are also comparable, but history tells us, profitability in Asia tend to be more cyclical.

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What Mag 7 tells about Asia Trident

- ◆ Mag-7 is bigger, trades more but dominates the US index as much as Asia's AI big 3 hardware AI plays dominate Asia ex Japan
- ◆ Asian stocks compare favourably to the Mag-7 on earnings growth, cash flow, capex and ROEs
- ◆ Yet, Asian valuations are a fraction of the Mag-7's, allowing more room for expansion

A quick comparison of fundamentals between the Asia Trident and the Mag-7

Dimension	Asia Trident	Magnificent 7
Constituents	Samsung Electronics, SK Hynix and TSMC	Microsoft, Alphabet, Amazon, Meta, Tesla, Nvidia, Apple
Market cap	USD4.3trn	USD23.1trn
Index dominance	~30% of Axi index weighting	~33% of US index weighting
Trading liquidity	Lower, average cUSD19bn a day	~6x higher daily trading vs Asia Trident, cUSD12bn a day
Earnings growth (2026e)	c240% y-o-y	c30% y-o-y
Free cash flow (FCF)	~USD400bn in 2027e	~USD470bn in 2027e, driven by Nvidia and Apple
Capex requirements	cUSD150 bn in 2027e, lower than Mag-7	cUSD850bn in 2027e with hyperscalers investing in datacentres
FCF margins & ROE	Better FCF margins (38.8% in 2027e) and ROE (42.0%)	Lower FCF margins (14.2% in 2027e) and ROE (37.0%)
Valuation (12m forward P/E)	9.8x, much below its historical average	26.9x, broadly in-line with average
General comparison	Undemanding valuations, stronger growth prospects, high profitability and flows	Bigger, more liquid, capex lowering cash flows, valuations not as exciting

Source: Bloomberg, FTSE Russell, Factset consensus estimates for all forward looking estimates, HSBC

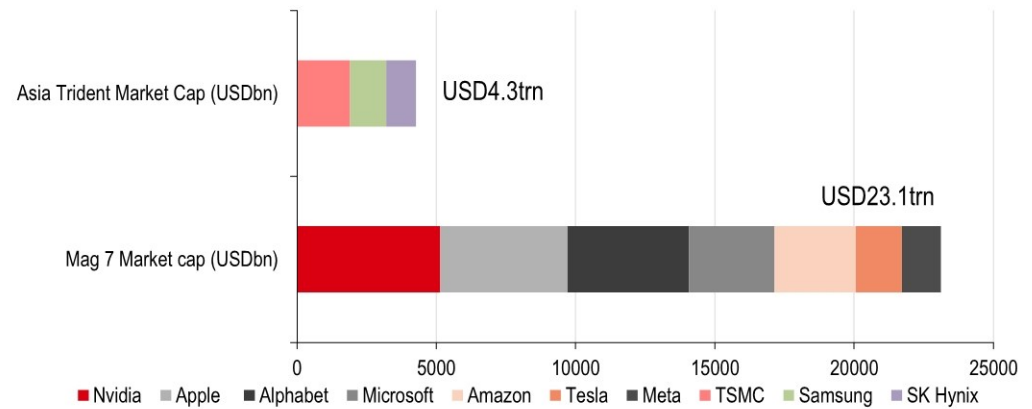
Magnificent 7 vs Asia's AI Trident

In this note we make a quick comparison between the Magnificent 7 – “Mag-7” for short and which includes Microsoft, Alphabet, Amazon, Meta, Tesla, Nvidia and Apple – with the three largest beneficiaries of AI in Asia. The latter we neatly name the “Asia Trident” and includes SK Hynix and Samsung Electronics in Korea and TSMC in Taiwan. While Asia Trident dominate in making memory and logic chips, Magnificent 7 are much more diversified in operations spanning across businesses such as chip designing, e-commerce, cloud computing, digital media and EVs.

In this report, we have constructed equal weighted indices with these two groups of names and make comparisons between them.

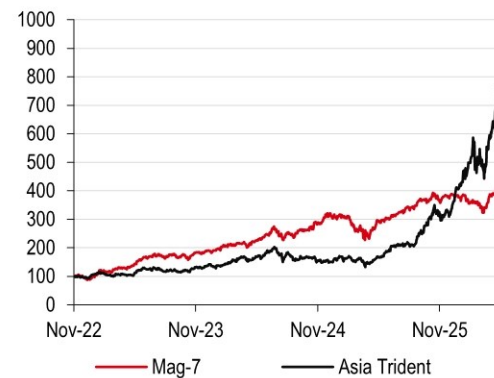
Let's first starts with the size. The seven in the US are about 5x larger than the three in Asia.

1. Mag-7 stocks now total around USD23trn in market cap. They dwarf the “Asian Trident” names (Samsung Electronics, SK Hynix and TSMC)



Source: FTSE Russell, Factset, HSBC

2. Mag-7 outperformed Asia Trident until 2025, but since then Asia Trident has rallied, becoming the preferred names for AI plays



Source: FTSE Russell, Factset, HSBC

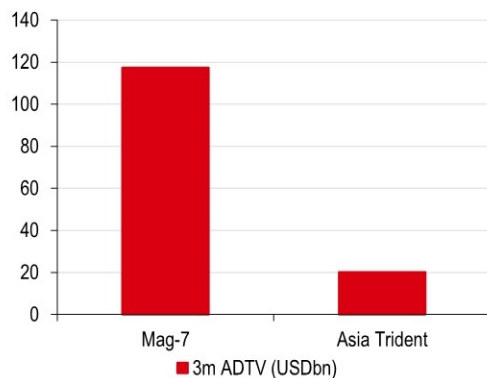
Note: Equal Weighted Index, rebased on 30 Nov 2022

3. The Asia Trident are now just as dominant as the Mag-7 in the local indices. Both account for nearly one-third of the whole market



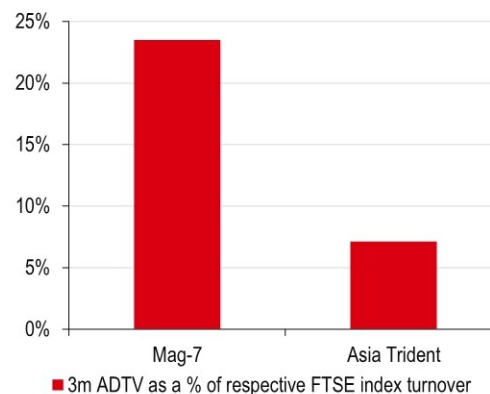
Source: FTSE Russell, Factset, HSBC

4. However, Asia Trident trade much less, with its daily turnover about 1/6th of the Mag-7



Source: Bloomberg, HSBC

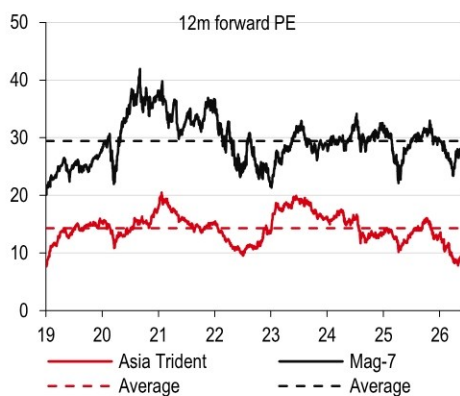
5. This is despite a big and growing retail investor base in Asia. Asia Trident account for just 7% of region's turnover, much smaller than Mag-7



Source: Bloomberg, HSBC

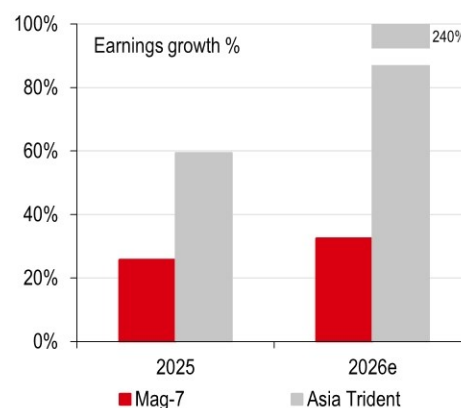
Note: For Mag-7, FTSE US is used, for Asia Trident, FTSE AxJ is used for comparison

6. This to some extent also explains the valuation differential. Asia Trident trade at lower multiples. Thanks to large liquidity and big pool of capital, US stocks in general trade at higher valuation



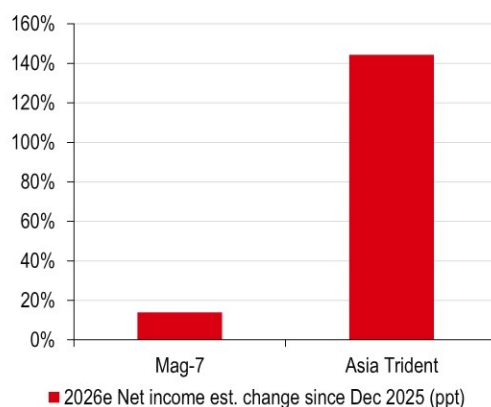
Source: FTSE Russell, Factset consensus estimates, HSBC

7. There is also a considerable gap in growth expectations. Earnings for Asia are set to triple this year, growing much faster than the US counterparts



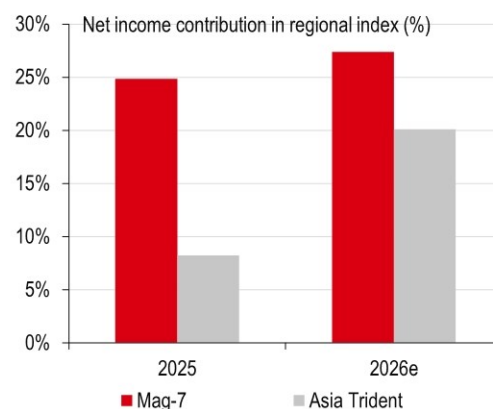
Source: FTSE Russell, Factset consensus estimates, HSBC

8. Growth expectations are rising for both groups, but much more so for Asia Trident



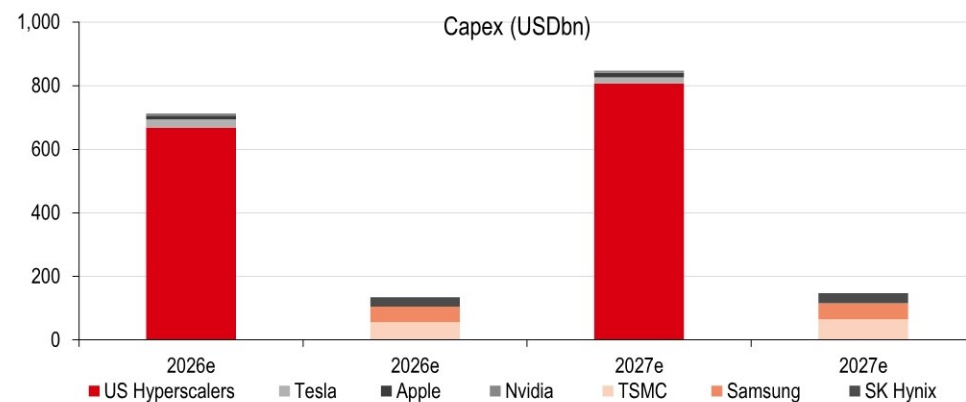
Source: FTSE Russell, Factset consensus estimates, HSBC

9. Asia Trident now drives Asia's profit story, albeit still shy of Mag-7's contribution in the US



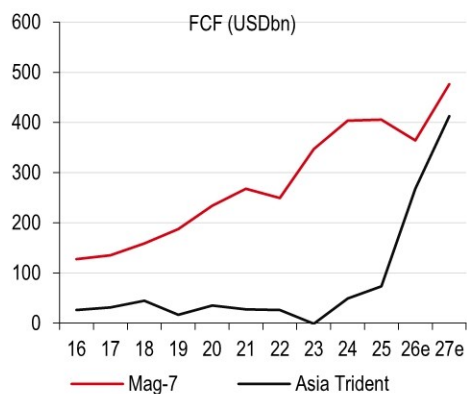
Source: FTSE Russell, Factset consensus estimates, HSBC

10. Mag-7 also dwarf Asia Trident's capex plans. US Hyperscalers are aggressively spending on data centre buildouts. Asian plans are more modest in comparison



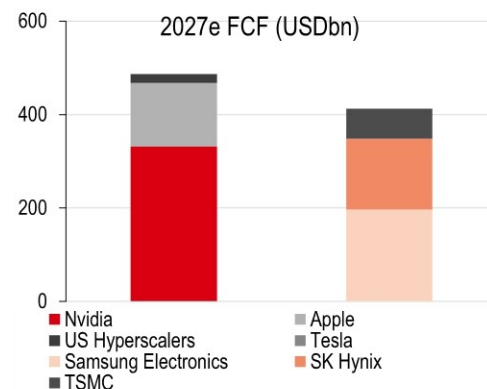
Source: FTSE Russell, Factset consensus estimates, HSBC

11. This makes it important to look at cashflows. Both sets are expected to generate cUSD400-500bn of cash annually in 2027e



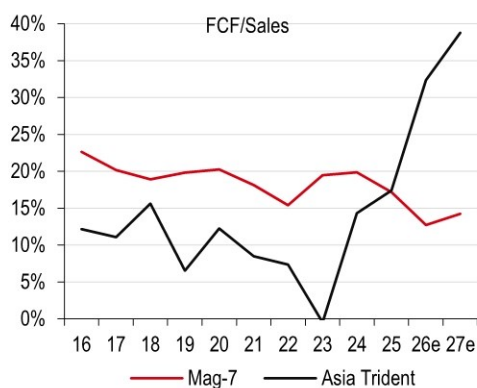
Source: FTSE Russell, Factset consensus estimates, HSBC

12. But most of the Mag-7's cash flows are coming from Nvidia & Apple (given their lower capex). That's not the case in Asia – all 3 have strong cashflows.



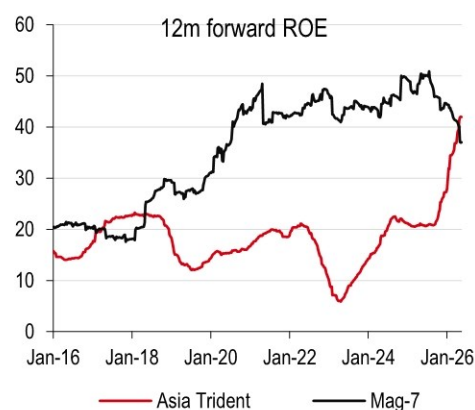
Source: FTSE Russell, Factset consensus estimates, HSBC

13. Also, overall free cash flow margins are much better in Asia now



Source: FTSE Russell, Factset consensus estimates, HSBC

14. Asia Trident enjoys faster growth and better cash flow. In terms of ROEs, they are similar. But history tells us, profitability in Asia can be more cyclical.



Source: FTSE Russell, Factset consensus estimates, HSBC

15. Some metrics mentioned in this report

Bloomberg	Company	3m ADTV (USDmn)	FY26e EPSg	FY27e EPSg	ROE (FY26e)	PE (FY26e)	Perf from Nov 2022 to end 2025	YTD perf
NVDA US	NVIDIA Corp	31,518.5	59.4%	82.5%	98.9%	44.2	1110.3%	20.9%
AAPL US	Apple	11,687.7	18.0%	7.8%	134.0%	35.4	79.7%	13.4%
GOOGL US	Alphabet	15,443.2	-	-	-	-	221.3%	9.5%
MSFT US	Microsoft	13,184.2	20.8%	22.4%	32.4%	26.6	100.5%	8.8%
AMZN US	Amazon.com	10,490.1	23.4%	11.0%	20.7%	30.6	145.2%	7.5%
TSLA US	Tesla Inc	23,626.3	-16.3%	7.6%	4.7%	442.3	149.6%	-1.4%
META US	Meta Platforms	9,494.9	33.3%	7.2%	31.5%	20.2	489.1%	-15.0%
Mag-7 index			32.4%	13.9%	37.0%	26.9	282.3%	8.4%
2330 TT	TSMC	2,752.0	46.1%	23.6%	39.1%	24.3	215.7%	48.6%
005930 KP	Samsung Electronics	9,024.3	524.9%	36.0%	53.0%	8.4	80.5%	160.4%
000660 KP	SK Hynix	7,393.6	361.0%	46.8%	90.7%	8.2	585.2%	234.7%
Asia Trident index			240.5%	31.6%	42.0%	9.8	264.8%	142.8%

Source: Company data, Factset consensus estimates, HSBC estimates

Note: Dated on 29 May 2026, individual company ratios are using HSBC estimates, Index are calculated based on Factset consensus estimates

16. List of stocks mentioned in the report

Bloomberg	Company	Mkt cap (USDmn)	Sector	HSBC rating	Price ccy	Price	HSBC TP	Analyst
NVDA US	NVIDIA Corp	5,109,587.9	Semiconductors	Buy	USD	211.14	325.00	Frank Lee*
AAPL US	Apple	4,583,337.1	Computers & Peripherals	Hold	USD	312.06	260.00	Nicolas Cote-Colisson*
MSFT US	Microsoft	3,344,578.5	Software	Buy	USD	450.24	571.00	Stephen Bersey
AMZN US	Amazon.com	2,911,303.0	Internet & Catalog Retail	Buy	USD	270.64	310.00	Paul Rossington*
TSLA US	Tesla Inc	1,636,707.0	Autos	Reduce	USD	435.79	123.00	Michael Tyndall, CFA*
META US	Meta Platforms	1,605,971.7	Internet Software & Services	Buy	USD	632.51	905.00	Nicolas Cote-Colisson*
2330 TT	TSMC	1,943,256.7	Semiconductors	Buy	TWD	2,355.00	2,800.00	Frank Lee*
005930 KP	Samsung Electronics	1,353,543.1	Semiconductors	Buy	KRW	349,000.00	450,000.00	Ricky Seo*
000660 KP	SK Hynix	1,117,220.9	Semiconductors	Buy	KRW	2,363,000.00	2,900,000.00	Ricky Seo*

Source: Company Data, HSBC estimates

Note: Dated on 29 May 2026

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